

more than they have stock market predictive powers. Second, if you select stocks that will benefit only in a particular economic environment, you inevitably invite turnover and speculation. Whether you correctly predict the economy or not, you'll find yourself continuously adjusting your portfolio to benefit in the next economic scenario. Buffett prefers to buy a business that has the opportunity to profit regardless of the economy. Of course, macroeconomic forces may affect returns on the margin, but overall, Buffett's businesses are able to profit nicely despite the vagaries in the economy. Time is more wisely spent locating and owning a business that has the ability to profit in all economic environments than by renting a group of stocks that do well only if a guess about the economy happens to be correct.

Organizational Advantage

Winston Churchill, addressing the House of Commons in 1944 in a building that had sustained heavy damage from air strikes the day before, said, "We shape our dwellings, and afterwards the dwellings shape us." This eloquent truth, beloved by generations of architects, also helps us understand the shape of Berkshire Hathaway and its builder. As we dissect the Buffett advantage, it's helpful to look at the organizational structure of the company he has built.

When Buffett bought his first share of Berkshire Hathaway for \$7, I am not sure he had a grand vision of what Berkshire would become a half-century later. But as Churchill predicted, the company did indeed reflect the characteristics of its architect, and Warren Buffett the investor epitomizes the characteristics of his company.

The success of Berkshire Hathaway rests on three fundamental pillars. First, the company's subsidiaries generate mountain-loads of cash that are sent upstream to corporate headquarters in Omaha. This cash comes from the float of its massive insurance operations as well as the cash-generating capabilities of its nonfinancial wholly owned subsidiaries.

Second, Buffett, the capital allocator, takes this cash and reinvests it into more cash-generating opportunities. This in turn allows him to buy still